

HK Commercial Lending Policy - 2024

1. Introduction

This document outlines the risk parameters for Commercial Real Estate (CRE) origination in Hong Kong.
Policy ID: HK-CRE-2024-V2.

2. Loan-to-Value (LTV) and DSCR Matrix

The following dictates the maximum LTV and minimum Debt Service Coverage Ratio (DSCR) constraints by property type:

- Grade A Office (Central/Admiralty): Max 50% LTV, Min 1.20x DSCR
- Retail (Prime Districts): Max 40% LTV, Min 1.30x DSCR
- Industrial / Warehouse (Kwun Tong / Tsuen Wan): Max 40% LTV, Min 1.25x DSCR

Note: For properties valued over HKD 500 million, the Max LTV is automatically reduced by 10% from the baseline.

3. Stress Testing Requirements

A stress test must be applied to all commercial mortgage borrowers. The stress test assumes an interest rate increase of 200 basis points (2%). Under this stressed scenario, the borrower's stressed DSCR must not fall below 1.0x.

4. Guarantor Requirements

4.1 Non-Recourse Exceptions: Strictly limited to blue-chip developers listed on the HKEX with a market capitalization exceeding HKD 20 Billion.

4.2 Standard Recourse: For all other borrowers, full recourse personal guarantees are required from any director or shareholder holding a 25% or greater stake.